

Student activity

Think: The main cashier thinks that the petty cashier spends too much on everyday business activities. Is there any way to have a control on such expenses?

7.10.1 Imprest system of petty cash

Under this system, a fixed amount necessary or sufficient to meet petty payments determined on the basis of past experience is paid to the petty cashier on the first day of the period. (It may be a week or fortnight or month). The amount given to the petty cashier in advance is known as "Imprest Money". The word imprest means payment in advance. The petty cashier makes payments from this amount and records them in petty cash book. At the end of a particular period, the petty cashier submits the petty cash book to the head cashier. The head cashier scrutinises the petty payments and gives amount equal to the amount spent by petty cashier so that the total amount with the petty cashier is now equal to the amount he had received in the beginning as advance. Under the system, the total cash with the petty cashier never exceeds the imprest at any time during the period. This method thus provides an effective control over petty payments.

For example, On 1st June, 2017, ₹ 1,000 was given to the petty cashier. He had spent ₹ 940 during the month. He will be paid ₹ 940 on 30th June by the cashier so that he may again have ₹ 1,000 for the next month i.e., July, 2017.

7.10.2 Advantages of maintaining petty cash book

Following are the advantages of maintaining petty cash book:

(i) There can be better control over petty payments.
(ii) There is saving of time of the main cashier.
(iii) Cash book is not loaded with many petty payments.
(iv) Posting of entries from main cash book and petty cash book is comparatively easy.

7.10.3 Types of petty cash book

There are two types of petty cash books. They are:

(i) Simple petty cash book
(ii) Analytical petty cash book

(i) Simple petty cash book

A simple petty cash book resembles the single column cash book. But the columns are different. On the debit side, only the advance received from the head cashier is recorded. On the credit side, all payments are recorded in only one column. This is known as simple petty cash book.

(ii) Analytical petty cash book

In analytical petty cash book, a separate column is provided for different heads of payments and one column for total payments. When the petty expenses are recorded in the total payment column, same amount is also recorded in the appropriate expense column. This is known as analytical petty cash book.

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